



asendia

Beauty & Cosmetics

Explore where opportunities
lie for your business

www.asendia.com



THE WORLD IS
YOUR ADDRESS

The state of play in online Beauty & Cosmetics

The online Beauty & Cosmetics market has grown rapidly in recent years. The expansion of online marketplaces' beauty product offerings and the impact of pandemic restrictions saw beauty e-commerce quadruple its share of the overall beauty market between 2015 and 2022. Consumers have become more and more comfortable making their beauty and cosmetics purchases online, to the extent that the lifting of COVID-19 regulations and the global economic challenges have done little to dampen the sector's growth.

The conveniences of online shopping have been embraced by customers across the entire retail sector, aided by the growing number of beauty subscriptions on offer.

With beauty shoppers spending more time online than the average consumer, it's a market that offers particularly plentiful opportunities for brands able to deliver outstanding digital customer experiences.

Traditionally, the only way customers could buy beauty and cosmetics products with confidence was by heading instore to sample them or get advice from assistants. Nowadays, the rise of influencer platforms like TikTok, as well as the emergence of digital 'try-on' tools, has levelled the playing field by making the advice available online more personalised, more niche and more comprehensive.



12%

projected yearly growth
rate for beauty e-commerce
between 2022 and 2027,
making it the fastest growing
channel for beauty products.

The upshot is that bricks and mortar stores no longer hold a monopoly on beauty product sales, with e-commerce beauty sales now growing twice as fast as instore sales. As online journeys become more tailored and sophisticated, beauty e-commerce is going from strength to strength. For e-tailers capable of capitalising on the opportunities presented by the shift online, the beauty and cosmetics sector represents a tantalising avenue of growth.

Read on as we delve into the online beauty and cosmetics market in more detail, and discover where opportunities lie for your business.



22%
of worldwide
beauty retail sales
made online



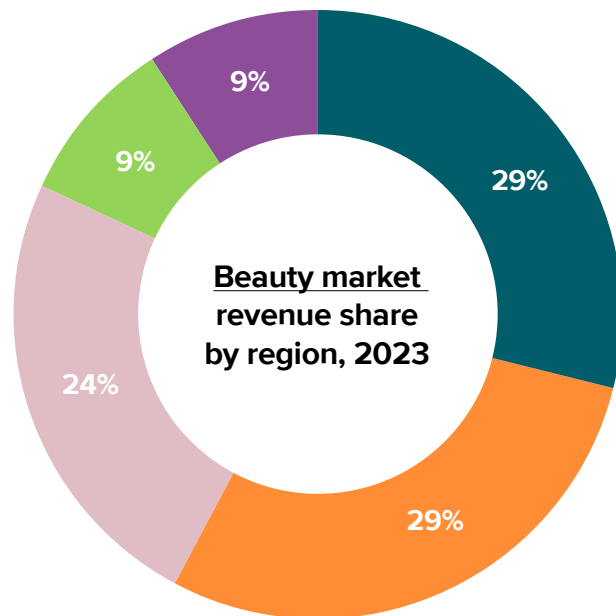
11.3%
of all e-commerce
sales attributed to
beauty and cosmetics



\$580bn
in revenue projected for
the beauty market in 2027

Global differences, global opportunities

Different factors are accelerating the growth of beauty and cosmetics e-commerce all around the world. Rising populations and changing demographics are driving demand, whilst the spread of internet connectivity across Africa and Southeast Asia is opening up new regional markets for e-tailers.



- North Asia
- North America
- Europe
- Latin America
- South Asia Pacific, Middle East, North Africa and Sub-Sharan Africa



In focus



Asia's evolving beauty market

Asia is the largest e-commerce market for beauty and cosmetics, mainly driven by the economic strength of China. Already the single biggest beauty and cosmetics market in the world, by 2027 e-commerce sales of beauty products in China are expected to reach \$55bn.

Aside from China, Southeast Asian countries such as Indonesia and the Philippines have emerged as high-potential markets for beauty and cosmetics products. Young, increasingly affluent populations have been quick to jump on trends amplified by social media such as Korean beauty and natural products, making Southeast Asia one of the fastest growing online beauty markets in the world.



Steady growth in North America

As the second largest online beauty and cosmetics market in the world, the USA remains a potentially lucrative option for e-tailers.

Although not growing as fast as during the pandemic, where beauty e-commerce revenue leapt from \$6.4bn to \$11.7bn in just three years, online sales in the sector continue to tick upwards. Growth is projected to sit at around 1% per year, and by 2026 online sales are set to account for a third of the overall US beauty market.



Divergence across Europe

France, Germany and the UK are the largest European beauty markets, with Western Europe accounting for over 80% of the continent's yearly revenue in the beauty sector. It's UK consumers who have the largest appetite for online shopping, perhaps explained by the finding that 52% believe that it offered better value than instore purchases during the peak of inflation.

Although Europe is a smaller beauty market than Asia and the Americas, beauty e-commerce across the continent is on the up. Over the next four years it's forecast to increase in size by one-third, generating \$40bn in revenue by 2028.

Emerging product segments in Beauty & Cosmetics

Broadly speaking, the beauty and cosmetics market consists of skincare, fragrance, makeup and haircare products, and all four segments are each expected to grow about 6-7% year-on-year up to 2027. Changing tastes mean the sector continues to evolve and expand, with emerging subsections capturing consumers' attention.

Male cosmetics

One of the industry's fastest growing markets, male beauty is set to attain a value of \$78.6bn by 2027. As conventional attitudes to masculinity and taboos around male grooming have shifted, demand for men's skincare products has soared. Men now account for over 20% of sales of beauty products, and the male beauty market is set to grow at a rate of 8% a year up to 2023

57%

of men worldwide make efforts to maintain their appearance



Natural beauty

More and more, consumers value natural ingredients in their cosmetics. They've grown more health conscious, applying greater scrutiny of what goes into the formulas they're applying to their face, skin and hair.

As a result, organic cosmetics has become a profitable market. The Natural and Organic Cosmetics Market is projected to attain a value of over \$33bn by 2027 and there's been a swell in the number of products on the market featuring cruelty free, vegan and plant based ingredients.

61%
predicted increase of
the value of the organic
skincare product market –
\$8.5bn in 2024 to
\$13.76bn in 2029

What's impacting consumer preferences?

Many of the motivations shaping beauty e-shoppers' purchasing decisions are evergreen. But whilst the desire to improve appearances, boost self-confidence and engage in self-expression have always been essential drivers, new considerations and influences have come to the fore in recent years.

Rising influencers

Compared to other e-shoppers, beauty and cosmetics consumers are more likely to be swayed by influencers. In fact, 22% of online cosmetics shoppers are "very likely" to make a purchase recommended by an influencer and 42% "somewhat likely".

Video platforms like YouTube and TikTok make it easy for prospective buyers to find reviews, tutorials and recommendations online, and social media has become a go-to research tool before making any purchasing decisions. Given the effectiveness of the medium and the trust audiences place in the messengers, it's no surprise that collaborations between cosmetics brands and influencers are becoming more common.



65%

of beauty consumers have been swayed by an influencer's recommendation when purchasing online

48%

of beauty buyers follow influencers on social media

Personalised journeys

The popularity of influencers speaks to consumers' desire for advice and guidance in their purchasing decisions – but in a sector so associated with self-expression, they don't just want generic, one-size-fits-all suggestions.

For that reason, personalisation is coming into play. First-party data and AI is being leveraged to offer tailored product recommendations based on skin types, preferences and previous purchases. Similarly, services offering bespoke skincare routines and custom-blended foundations are becoming more popular.

91%

of consumers are more likely to shop with brands that provide relevant offers and recommendation

Sustainability concerns

Consumers of all stripes have grown more conscious of the impact of their purchases on the planet. 73% say they would consider changing their consumption habits to reduce their environmental impact and that's especially true of beauty shoppers. Our research with ESW found that almost 90% of beauty shoppers consider sustainability when making a purchase, and 66% have altered their shopping habits to reduce their environmental impact.

Brands are adapting to these shifts by changing their messaging to emphasise their sustainability credentials, as well as seeking ways to reduce their environmental impact through measures such as packaging alterations and carbon emission pledges.



91%
of Chinese Gen Z beauty consumers
consider sustainability a crucial factor
when buying products

47%
of consumers are willing to pay more
for cosmetics that come in sustainable
packaging, compared to 33% who aren't

The digital revolution in Beauty & Cosmetics:

The power of convenience

E-commerce platforms and social media have changed how consumers interact with brands. Online shopping provides greater convenience and a wider range of options, while social media platforms are increasingly influential channels.

Third-party marketplaces are flourishing and are set to account for two-thirds of all online beauty sales by 2027. By offering vast amounts of products, the likes of Amazon and Alibaba have attained dominant positions in beauty markets around the world, but specialist beauty retailers like Ulta Beauty and Sephora are also expanding to fill a role that was traditionally played by department stores.

The convenience of a one-stop-shop is a powerful draw for consumers, and that factor also explains why subscription boxes are gaining popularity, as seen with brands including Skin & Me and Vitl. By offering consumers the chance to make repeat purchases with one click, e-tailers make life easier for their customers whilst simultaneously boosting their own revenue.

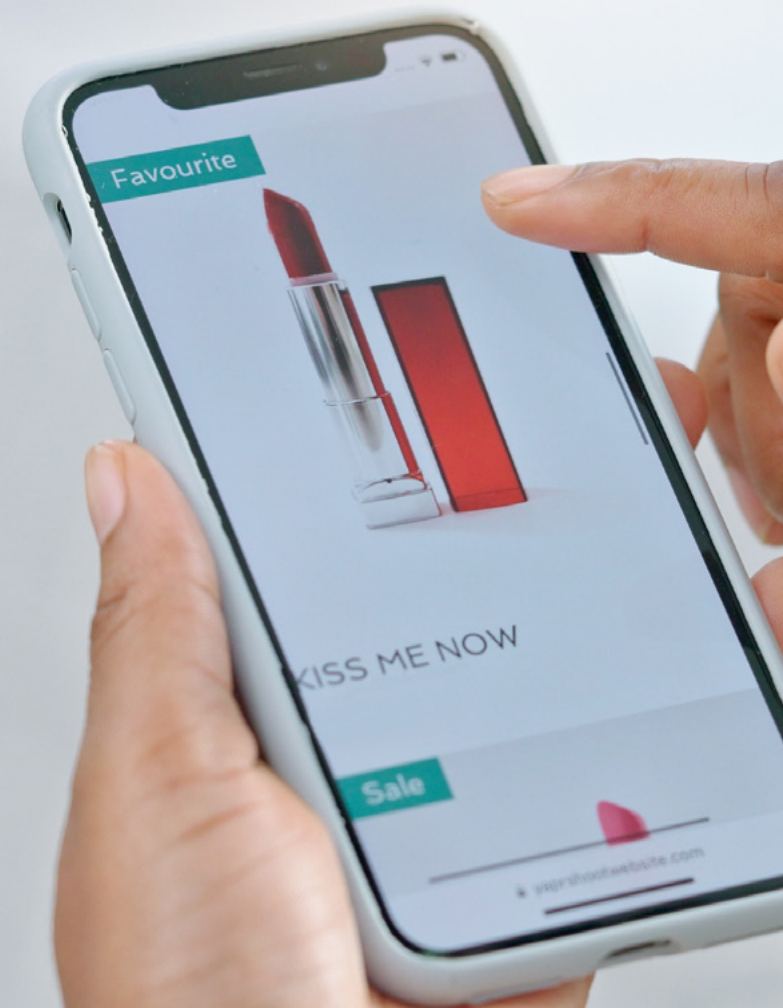
43%

of shoppers prefer AI-powered shade matching online over in-store testing

Another trend that could come to define beauty e-commerce is technology integration. Augmented reality (AR) and AI integrations are facilitating virtual 'try-ons', where shoppers can see how products will look when applied to their own face and skin. From a consumer's perspective, being able to sample beauty products is one of the key advantages that physical stores currently have over online shopping. That's set to change as beauty tech improves over time, and there are already signs that it's enhancing consumers' confidence when making online purchases.

2.5x

more conversions from shoppers who used Estee Lauder's virtual lipstick try-on tool



Tips for success in today's digital Beauty & Cosmetics landscape

Shifting audience preferences are changing the nature of the Beauty & Cosmetics industry before our eyes – particularly the values, preferences and habits practiced by increasingly affluent Gen Z and Millennial shoppers, who want to buy from brands who share the same principles that they do.

E-tailers are perfectly placed to capitalise. With the right integrations, offerings and messaging, your brand can leverage digital experiences to attract – and retain – modern Beauty & Cosmetic e-shoppers.



Get personal

Create tailored customer experience journeys that offer personalised product recommendations. By leveraging AI, AR and first party data, you can customise consumers' experience to increase confidence in their purchases and inspire repeat purchases.

Act natural

Your Beauty & Cosmetics brand needs to be aware of consumers' environmental and ethical concerns and reflect it in your products, packaging, material sources and logistic operations. As well as tapping into a growing market for sustainable and responsibly made products, brands which show that they care about shoppers' priorities will be more likely to inspire customer loyalty and repeat business.

Prioritise convenience

Customers place a premium on convenience, which is why online marketplaces like Amazon and Alibaba, who offer a huge breadth of products, are achieving so much success in the online beauty space.



Attain influencers

With platforms like TikTok and YouTube supporting the rise of influencers, and Beauty & Cosmetics consumers so receptive to influencers' recommendations, influencer marketing is a key tactic for your business to consider investing in.



One way you can match consumers' desire for convenience is by offering subscription boxes. Subscriptions generate repeat sales and steady revenue, and shoppers get to benefit from regular deliveries to their doorstep without having to spend time reordering products. Adding sample products to your boxes can improve customer satisfaction further and also serves as a cross-selling opportunity.

Introducing Asendia. **The World is Your Address**

Asendia delivers cross-border e-commerce solutions to **more than 200 countries worldwide**. We work in close partnership with a range of Wellness & Nutrition businesses, from globally recognised brands to disruptive start-ups with big ambitions.

Not only do we offer an efficient, flexible and reliable service your customers will love, but we can support you with everything from order fulfilment to marketing mail and digital payment solutions.

Reduce your costs, provide exceptional experiences with every sale and grow your business across borders. Speak to Asendia to find out more.

E-commerce solutions that
work for you and your customers



e-PAQ is our flexible range of e-commerce package and parcel solutions, ideally **suited to Beauty & Cosmetics brands** around the world. If you're looking to offer your customers quick, reliable and cost-efficient options at checkout, look no further than **e-PAQ**.

e-PAQ Plus and e-PAQ Select are our most popular products with Beauty & Cosmetics Brands.

e-PAQ Plus

The budget-friendly solution with partial tracking for added peace of mind.

- Packages up to 2kg
- Worldwide coverage, with tracking available to most destinations
- Export, import and delivery tracking
- Packages delivered by local postal operators, offering coverage, affordability and reliability
- Mailbox or convenient collection options

e-PAQ Select

The tracked parcel service for global deliveries, offering outstanding value.

- Packages up to 30 kg
- Worldwide coverage, including major and emerging e-commerce markets
- Quick delivery: 2-5 days regional and 4-9 days intercontinental
- Fully-tracked, with optional signature-on-delivery service
- Customs prepaid or paid-at-destination options
- Flexible PUDO, cash on delivery and proof of delivery options

Marketing Mail

Asendia offers direct mail services to support your targeted marketing campaigns. This is a highly effective way to reach consumers interested in Beauty & Cosmetics with personalised messages and promotional materials for your brand.

Case study:

Cost-effective and reliable shipping for Bali Body

How Asendia helped one of Australia's most successful beauty brands rise to the challenge of growing order volumes.

Bali Body, a leading online care skincare and beauty brand based in Australia, faced an enviable challenge. Orders were being placed for its products every 45 seconds from countries all over the world, so it needed a reliable fulfilment provider to manage its delivery requirements in the UK, EU, Canada, Israel, Asia and the Middle East.

The solution had to be cost-efficient, fast and flexible enough to keep up with the pace of change in the e-commerce space. Attracted by our vast experience and our history of reliable service, Bali Body chose Asendia.

The range of the shipping methods we offer meant Bali Body could select the options which would best suit its customers' price and delivery speed expectations. Picking e-PAQ Select and e-PAQ Elite provided Bali Body with global coverage and optimised tracking performance at exceptional value.

We took over the management of four of Bali Body's six online stores, working with multiple shipping providers and across different service levels.

Bali Body's partnership with us meant that, even from the other side of the world, it could meet the demands of its growing order list, satisfy customers and maximise global revenue through our dependable service.



“Asendia has always been willing to work with us to find the best solution. They are flexible, understanding and reliable which is exactly what we need.”



Grow your **Beauty
& Cosmetics** brand
across borders

asendia

Speak to Asendia today
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